



PESTEL Analysis and Research on Beauty Farm Medical & Health Industry Inc

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Abstract. Beauty Farm Medical & Health Industry Inc. is a leading company in the medical beauty industry in China. Beauty Farm has a significant first-mover advantage on the track, supported by national policies. However, it needs to be alert to the impact of changes in the regulatory environment on the business model and achieve sustainable development through flexible strategic adjustments; it is necessary and valuable to use the PESTEL analysis model to study and predict the development and future of Beauty Farm and the medical beauty industry from political, economic, social, technological, environmental, and legal six dimensions. By analyzing this company and identifying the risks and opportunities in the industry, potential future strategies can be sought. Through this paper, people can gain insights into the development trajectory and future possibilities of the medical beauty industry and its leading enterprises, thereby providing possible assistance to the company and those who invest and conduct financial analysis.

Keywords: PESTEL, Medical Beauty Industry, Beauty Farm.

1 Introduction

Beauty Farm, officially known as Beauty Farm Medical & Health Industry Inc., was established in 1993 and is a leading provider of beauty and health management services in China. It initially entered the market with a high-end beauty salon model, and in 1993, it collaborated with the renowned German beauty brand "DEYNIQUE" to introduce advanced European beauty concepts and technologies, targeting the mid-to-high-end consumer group. In its early days, it focused on "lifestyle beauty", filling the gap of professional beauty chain brands in China. 2011, it expanded into the medical beauty sector, forming a composite business model of "lifestyle beauty + medical beauty + health management". In January 2023, it was listed on the main board of the Hong Kong Stock Exchange (stock code: 2373.HK), becoming one of the few chain medical beauty institutions in China to enter the capital market, further consolidating its leading position in the industry.

In recent years, the medical beauty industry in China has experienced rapid development: from the 1990s to 2000s, it was in the nascent stage, dominated by public hospitals and with low consumer awareness; then, from 2000 to 2015, it saw explosive

growth of private institutions but was marked by chaos; and now it has entered a standardized stage under the influence of strong policy regulation, technological upgrades, market stratification, and changes in consumer groups, as well as recovery and new trends after the pandemic [1]. The medical beauty industry in China has shifted from extensive expansion to standardized development, with technology-driven and consumption upgrades continuously expanding the market. In the future, compliance, technology, and personalization will become the core of competition.

With nearly 30 years of industry experience, Beauty Farm has evolved from a single beauty salon to a diversified medical and health group [2].

2 Methodology

The PESTEL analysis model (also known as the macro-environmental analysis model) provides a suitable analytical framework [3]. It is based on the ETPS model (Economic-Technological - Political - Social model) proposed by Francis J. Aguilar in the 1960s for business environment analysis and the PEST model (Political - Economic - Social - Technological model) by Gerry Johnson and Kevan Scholes in the 1990s. It has incorporated the legal and environmental factors that have received much attention recently. It is a macro-environmental analysis tool that can conduct a panoramic scan of the important external macro factors of an industry, organization or other entity. It is also a strategic research tool for understanding the growth or decline of the relevant market, business position, development potential and operational direction.

The PESTEL model analyses a certain industry based on six major factors: political, economic, social, technological, environmental, and legal. In politics, it mainly analyses the impact of tax policies, government stability, trade regulations and political risks on enterprises. In terms of economy, it analyses the impact of economic cycles, market trends and consumer purchasing power on enterprise operations. In terms of society, it observes the impact of population changes, consumption habits, social trends and development on market demand. In terms of technology, it analyses the competitiveness of enterprises from the perspectives of technological progress, industry innovation and technology adoption rates. In terms of the environment, it mainly analyses the impact of climate change, environmental protection regulations and sustainable development on social and corporate responsibility and enterprise operations. In terms of law, it mainly analyses the impact of legal changes, industry standards and intellectual property rights on enterprises.

The following text will briefly analyze the macro-environment of Beauty Farm's development based on the PESTEL model from six dimensions.

3 Analysis and Discussion

3.1 Company Background Analysis

As a leading enterprise in China's beauty and health management service industry, Beauty Farm Company provides a "double beauty + double health care" service,

combining traditional life beauty and medical beauty [4]. It extends to the field of health management, forming a diversified business matrix: including professional skincare products, medical beauty products and services, special treatment courses, brand matrix and business extension.

Beauty Farm's products take professional skin care products as the core, combine medical beauty technology and health management services, and form a "prevention-improve-maintenance" full life cycle solution. Its product features include a high concentration of active ingredients, targeted efficacy (such as anti-ageing, repair, and shaping) and professional cinema-level use standards. Continue to promote technological beauty innovation through cooperation with international brands and independent research and development. By 2024, Beauty Farm will have 352 stores nationwide (177 directly operated and 175 franchised), covering the core business areas of more than 100 cities.

3.2 PESTEL Model Analysis

Political. From the political perspective of China's policies, as a leading enterprise in the beauty and health management service industry, Beauty Farm's future development not only benefits from multiple opportunities under the guidance of national strategy but also faces potential risks brought by stricter policy supervision and changes in the market environment [5]. The following is the specific analysis:

Policy support for Healthy China strategy and consumption upgrading. The national "Healthy China 2030" plan's regional development policy clearly puts forward the health service industry's development and encourages non-medical health management services. The policy emphasizes expanding domestic demand and supporting consumption upgrading in the context of China's per capita disposable income continuing to increase. Beauty Farm's "double beauty + double health care" (life beauty, medical beauty and health management) business is highly in line with this direction, in line with the trend of consumption upgrading and policy dividends, especially in the core cities in high-income groups demand.

Optimization environment of the private economy and industry norms. In recent years, China has repeatedly emphasized supporting the development of the private economy and loosening the restrictions on private economic policies. Beauty Farm can achieve large-scale expansion through mergers and acquisitions, integrating small and medium-sized brands, and creating policies to protect market players. In addition, China's policies promote the standardization of beauty industry services. Beauty Field's mature franchise management system (such as the standardization process with 32 years of experience) can become the industry benchmark and seize the market opportunity.

Urban-rural integration and sinking market potential. China promotes the development of the county economy and urban-rural integration, giving dividends to the county economy and rural revitalization policies. Through the "direct operation + franchise" model (covering 100 cities and 352 stores by June 2022), Beauty Farm has already laid out first-tier and new first-tier cities and can further descend to third-tier and fourth-tier

cities in the future, using policy support for small and medium-sized enterprises to reduce costs.

Economy. In general, consumption upgrading provides a broad room for growth, but economic fluctuations and market competition also pose significant challenges. The key to its success lies in whether it can take the lead in the dual wave of the appearance-level economy and health industry through technological empowerment, sinking layout and compliance operation.

Consumption upgrading and expansion of middle and high-income groups. In recent years, China's per capita disposable income has continued to grow, and the size of the middle and high-income group has expanded, promoting the expansion of consumer demand from basic beauty to high-end medical beauty and health management [6]. Beauty Farm is positioned in the high-end market, and its medical beauty items with a high unit price (such as anti-ageing service with a unit price of 10,000 to 200,000 yuan) and customized health management services accurately match the needs of high net worth individuals. At the same time, the younger generation pays more attention to "appearance level" and health and promotes the penetration rate of the beauty and medical industry. By 2030, China's beauty and skincare audience is expected to reach 198 million people, and the penetration rate of medical beauty will gradually increase.

The fluctuation of consumption power and the impact of the economic cycle. High sensitivity of demand for high-end services. If macroeconomic growth slows or residents' income growth falls short of expectations, high-end beauty and health management services may become an "optional expenditure" among non-essential consumption, depressing demand. For example, in the first half of 2022, Beauty Farm's net profit fell 78.8 per cent yearly due to repeated epidemics.

Market competition and homogenization pressure. The beauty medical industry is highly competitive, and the concentration of the industry is low. Emerging brands and traditional medical institutions have entered the market, and the homogenization of services is serious. Beauty Farm needs to strengthen product differentiation and brand barriers and consolidate high-end positioning.

Financial and operational risks. Pay attention to the financial performance of the enterprise: According to the 2024 interim report, Beauty Farm's revenue was 1.138 billion yuan (up 9.72% year-on-year), net profit was 115 million yuan (up 3.21% year-on-year), and gross profit margin was 46.95%, but the asset-liability ratio was as high as 74.45%, requiring attention to debt risks, which may affect expansion ability when economic fluctuations or financing environment is tightened.

At the same time, the supply chain's dependence on imported raw materials also represents the stability of international trade frictions or environmental policy adjustments that may affect costs.

Social. On the whole, Beauty Farm is faced with abundant opportunities and challenges. From the social development perspective, the ageing population and urbanisation process have brought huge market demand for the medical and health industries. However, the fierce competition in the industry requires Beauty Farm to remain vigilant in continuous innovation and market expansion.

The service tide of an ageing population. According to statistics, China is facing a rapidly ageing society. By 2030, the number of older adults aged 60 or above will reach

300 million, accounting for about a quarter of the total population. The ageing of the population has brought about a sharp rise in the demand for medical and health services, especially for chronic disease management, geriatric care, rehabilitation and other health services. Beauty Field Medical and Health Industry Group has the opportunity to cater to this trend by improving health management services for older people and the layout of the elderly care industry. It can provide personalized medical treatment, rehabilitation, nursing and other services for the ageing society, which can help Beautiful Field expand its market share and enhance its brand influence.

The urbanization process is accelerating. China's urbanization process continues to advance, with the rural-urban migration, the increase in urban population, and the change in the demand for health services in urban areas, resulting in the need for an efficient healthcare system. With the increasing level of urbanization, especially in the health industry demand in second - and third-tier cities, healthcare companies have the opportunity to enter the under-tapped market.

Public health awareness is increasing. In recent years, with the popularization of health education and medical knowledge, public health awareness has gradually increased, and consumers have paid more attention to disease prevention, early screening, and health management. The influence of the beauty and health care campaign on psychological well-being has been statistically significant in terms of physical confidence and physical health. If Beauty Farm can follow this trend and strengthen health management and personalized medical services, it will gain more market opportunities.

Sociocultural change. The conflict between traditional and modern concepts impacts the formation and development of the health industry. With the changing needs of modern population health management, the traditional mode of "seeing a doctor" is gradually replaced by "health prevention" and "fine medical treatment". At present, China's social health and beauty demand surge: consumers on the "appearance level economy" and anti-ageing services to increase attention, Beauty Farm if you can seize the opportunity of The Times, in the basic plate at the same time to expand the medical beauty to the health field, it is a great opportunity to expand business opportunities.

Technology. In the modern and changing technological situation, technological innovation and digital transformation will be the key factors for Beauty Farm to continue to lead. The following will be an in-depth analysis of the future opportunities and risks of Beauty Farm from the aspects of technological progress, technological layout and the competitive situation of industry technology.

Technological innovation promotes the transformation of the medical beauty industry. From the perspective of the correlation between the motives for using social media and the actions of managing one's appearance, the information function motive of using social media in skin management actions is the highest. With the rapid development of science and technology, especially the application of AI, big data, robots and other technologies in the medical and health field, technological innovation in the medical and beauty industry is constantly improving the service efficiency and accuracy of the industry. If Beauty Farm can actively lay out in these fields, it will have huge technical advantages and market opportunities. With the continuous progress of AI technology and big data analysis, personalized treatment will become the mainstream of the future

development of the medical beauty industry. Beauty Farm can combine data analysis to provide tailor-made medical beauty programs and enhance market competitiveness.

Digital transformation and technology integration of the medical beauty industry. With the development of Internet technology, the medical beauty industry is gradually realizing the digital transformation from the traditional offline mode to the combination of online and offline. The detailed dynamic data during the period when customers receive the service facilitates a comprehensive analysis of the satisfaction of special customers and all customers, potential demand signals and market trends, and at the same time forms a valuable operating theory for all customer managers of the company. This transformation improves the efficiency of services and expands the market coverage. As consumers demand for convenient medical services increases, the medico-aesthetic industry gradually expands online. If Beauty Farm can build an online platform to realize virtual consultation and other services, or use like blockchain technology, it will improve customer experience and expand market penetration [7].

Technology research and development investment and innovation ability of the company. As a leading medical and health industry group, Beauty Farm will have a huge competitive advantage if it can continue to improve its technological level and keep pace with the cutting-edge technologies in the industry. Regarding digitalization and technological innovation, Beauty Farm can invest in online platforms (such as private traffic operations and mini-programs) to improve efficiency and competitiveness by cooperating with biotechnology companies to develop new technologies (such as launching 10 new medical and beauty products in 2023).

Environmental. In the future development process, the environmental compliance of medical and beauty enterprises will become an important factor that cannot be ignored. With the continuous improvement of environmental protection standards by the state, the increasingly strict supervision of the industry, and the enhancement of public awareness of environmental protection, the medical beauty industry is facing more and more compliance requirements in the operation process. If Beauty Farm can take the initiative in environmental management, emission standards, green sustainable development and other aspects, it will gain greater advantages in the industry competition.

The national environmental supervision trend in the medical beauty industry. In recent years, the state has intensified its environmental protection supervision and imposed stricter requirements for pollution discharge, waste treatment and resource utilization in the medical, cosmetics, and medical beauty industries. The medical beauty industry involves many environmental factors such as chemical agents, medical waste and sewage discharge, and the state has issued a series of regulations and standards to require enterprises to improve environmental protection levels and achieve green and sustainable development. According to the 2023 ESG report, Beauty Farm implements energy conservation and emission reduction measures (reducing electricity consumption by 11% and water consumption by 21%) and prioritizes sustainable supply chain partners. Through cooperation with environmentally friendly material suppliers and green technology companies, Beauty Farm can enhance its products and services' environmental attributes and brand competitiveness.

Beauty Farm's environmental advantages. As a leading enterprise in the industry, Beautiful Garden has a certain layout in the field of environmental protection, mainly

reflected in the following points. The use of environmentally friendly materials: Beauty Farm has introduced degradable, non-toxic fillers and skin care products in some products and treatment programs. Optimize the sewage treatment system: Some stores have installed efficient sewage filtration systems to reduce pollutant discharge. Establishing a medical waste management system: Beauty Farm treats medical waste strictly with national regulations and cooperates with professional treatment companies to ensure compliance.

Legal. This module will analyze the opportunities and risks of Beauty Farm's future development from national laws and regulations, industry compliance requirements, and Beauty Farm's compliance system.

The Chinese national legal supervision of the medical beauty industry is becoming stricter. In the past, there were many unqualified institutions, non-professional personnel operations, false propaganda, and chaos in the medical beauty industry. In recent years, the Chinese government has gradually intensified its supervision of the medical beauty industry and issued a series of policies and regulations covering qualification management of medical institutions, professional qualifications of practitioners, medical safety and quality supervision, and protection of consumers' rights and interests. After the country increases supervision, non-compliant enterprises will be eliminated, and the industry will develop more healthily. As a large compliant enterprise, Beauty Farm will benefit from this trend and help boost its market share [8]. With the continuous improvement of regulations such as the Measures for the Management of Medical Beauty Services, the Regulations for the Management of Medical Institutions, and the Measures for the Management of Medical Advertising, the standardization of the medical beauty industry has increased, and the brand value of compliant enterprises will be further recognized. If Beauty Farm can strictly implement the industry standards, it will further enhance customer trust and brand premium ability [9].

Beauty Farm itself qualification is hard enough. Beauty Farm has established a certain legal compliance management system, including compliance operation: strictly abide by the regulations of the medical beauty industry, ensure service safety, reduce the risk of legal disputes; Standardized medical beauty operation process, to ensure that doctors following the standard operation; Legal compliance team, responsible for reviewing advertisements, contracts and customer agreements to reduce legal risks; And a staff training system to ensure that all medical staff and beauticians receive regular legal and business training.

Qualification and marketing compliance of medical institutions. According to the Measures for the Administration of Medical Advertising, the advertising of medical and beauty institutions is strictly restricted, and false propaganda, exaggerated effects and misleading consumers are prohibited. If some franchise stores or branches appear in illegal advertising, they may be punished administratively or even have their business licenses revoked. Similarly, in recent years, short videos and live broadcasts to promote medical beauty have become an industry trend, but if there are problems such as excessive marketing, inducing consumption and concealing risks, Meiliduan may be punished by regulators [10]. The increased supervision means that enterprises need to invest more resources in legal compliance, qualification review, personnel training, and service supervision, and the operating cost of enterprises will increase, which may

affect short-term profitability. The tactics used by some firms in the health and beauty industry have the potential to create and perpetuate fake news and pseudo-facts, which are then used to validate product claims [11]. However, as consumers are becoming increasingly more skeptical, this approach is not without its risks. Beauty Farm needs to avoid this kind of “tactics”, and also remain high corporate credit rating at the same time.

4 Conclusion

Beauty Farm Medical and Health Industry Co. Ltd. was established in 1993 and is a leading provider of beauty and health management services in China. It initially entered the market with a high-end beauty salon model, cooperating with the German brand "DEYNIQUE" to introduce European beauty concepts and fill the gap of professional beauty chain stores in China. In 2011, the company expanded into the medical beauty field, forming a "life beauty + medical beauty + health management" model. In January 2023, Beauty Farm successfully listed on the main board of the Hong Kong Stock Exchange (2373.HK), further consolidating its leading position in the industry.

By adapting to the needs of social changes, further expanding the service fields related to the ageing society, continuously promoting the digital transformation of the medical and health industry, and enhancing the construction of social cognition and consumer trust, Beauty Farm has the opportunity to achieve sustainable development in the future and become the leader in the industry. With the continuous development of science and technology, especially in the fields of AI, big data and other innovations, if Beauty Farm can timely seize the opportunities brought by technological innovation, strengthen its own research and development capabilities and adapt to the technological changes of the industry, it will become the leader of the industry. Suppose Beauty Farm can continue to innovate in environmental protection compliance and improve its technical level. In that case, it will be able to stand out in the industry competition, build a leading brand of green medical beauty, and achieve long-term sustainable development. Suppose Beauty Farm can really be careful about all these opportunities and risks, plus legal compliance and maintain a sound economic cycle, constructing a new product property rights framework model through digital media and online marketing, then the author believe it will undoubtedly become a giant in this industry.

This study analyses the development trends of Beauty Farm through the PESTEL model, revealing its opportunities and challenges. The research results can provide decision support for enterprise managers and help investors assess the industry's growth potential. In the future, Beauty Farm needs to continuously optimize its brand positioning, enhance technological competitiveness, and strengthen compliance operations to ensure steady development in a highly regulated environment and consolidate its leading position in this medical beauty industry.

Finally, through the comprehensive analysis and interpretation of the Beauty Farm, the readers can see that the development prospects of the medical aesthetics industry are extremely promising under the current era's opportunities and changing backgrounds. Nowadays, the most wanted field is beauty industry. The analysis presented

in this article can inspire the readers to conduct similar company or industry analyses in the future. The author think that through this article, everyone can understand the company's characteristics of Beauty Farm and, when conducting some financial analyses on it, grasp more information and more systematic methods.

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